

Top 10 Personal Finance Tips

1. Make the effort to educate yourself about personal finance. Read financial magazines and good financial books and use well-known, reputable sites on the Internet.
2. Budget! Operating without a budget is like driving a car without a steering wheel. You don't have control over where you are headed.
3. Save the pennies, and the dollars will save themselves. Lots of small amounts add up to big savings.
4. Pay cash. If you can't afford to pay cash, maybe you can't afford to buy.
5. Always think about opportunity costs. You may not be paying for something directly, but giving up the opportunity to make money is a real cost.
6. If possible, take savings out of your paycheck before you see it. After a while you'll get used to planning your spending on the lower amount, while your savings grow.
7. Be a smart shopper. Don't buy cheap items that won't last and don't pay for bells and whistles that you don't need and won't use.
8. Know how to recognize the warning signs of too much debt, and if you see yourself headed for trouble, act quickly, before you ruin your credit record.
9. Don't go without some type of medical insurance, even if you can only afford a policy with a very high deductible. If you become ill or are injured in an accident, the medical bills could ruin you financially.
10. Remember, most millionaires are just average people who practiced sound financial principles like those in this book. You could be one of them.